Declining Fertility and Housing Costs

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Abstract

I study how the cost of family space shapes fertility and what housing policy can do about it. Housing costs are at the center of the public debate on declining fertility: children need space, and young households, who have little savings, find that space costly to pay for. I build a life-cycle model in which households choose whether to have children, whether and how much to rent or own, and how much to save. Buying requires a down payment, and earnings are risky. I calibrate the model to the United States in 2007 and treat the fall in births since then as an exogenous decline in the taste for children. Along the transition to a new steady state with a smaller population, fewer households make housing cheaper, which feeds back into fertility. Because a child is a long commitment, earnings risk weighs on fertility, and lower risk raises births. I then use the model to assess housing policy. Easier mortgage credit could give young households access to the larger homes a child requires, but it does little for births. Policies that change long-term incentives, such as more housing supply and credit for parents, raise fertility, and their effects build up over a generation. Housing policy must therefore be judged by its long-run effects.

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